

Taz 02 2023

Originator: Spandana Sphoorty Financial Limited

December 19, 2023

| Instrument    | Amount<br>(₹ crore) <sup>@</sup> | Balance<br>Tenure<br>(months) <sup>*</sup> | Credit Enhancement (₹ crore) |                                   | Rating <sup>1</sup> | Rating<br>Action                 |
|---------------|----------------------------------|--------------------------------------------|------------------------------|-----------------------------------|---------------------|----------------------------------|
|               |                                  |                                            | Cash<br>Collateral           | Over Collateral<br>/Subordination |                     |                                  |
| Series A1 PTC | 55.34                            | 12                                         | 11.49                        | 20.39                             | CARE AA (SO)        | Revised from<br>CARE AA-<br>(SO) |

<sup>@</sup>After November 2023 payout.<sup>\*</sup>Tenure/door-to-door maturity may change due to prepayments or changes in interest rates if any.

### Rationale and key rating drivers

CARE Ratings Limited (CARE Ratings) has revised the rating of the Series A1 PTC issued by Taz 02 2023, backed by microfinance loans receivables originated by Spandana Sphoorty Financial Limited (SSFL), to 'CARE AA (SO)' (pronounced as Double A [Structured Obligation]) from 'CARE AA- (SO)' (pronounced as Double A minus [Structured Obligation]).

The revision in the rating is primarily based on the performance of the underlying loans over the past eight months post-securitisation, the robust legal structure, the well-defined payment mechanism, the significant build-up in cash collateral (CC) and over collateral (OC) – as a percentage of the balance amount of pass-through certificates (PTCs), the subordination of excess interest spread (EIS), and the servicing capability and overall performance of SSFL.

### Rating sensitivities: Factors likely to lead to rating actions

#### Positive factors – Factors that could, individually or collectively, lead to positive rating action/upgrade:

- Delinquencies (90+ DPD) of <4% coupled with a sustained high collection efficiency (cumulative collection efficiency of >95%).
- Build-up of CC of more than 2x the initial proposed (as a percentage of the balance principal outstanding [POS]).

#### Negative factors – Factors that could, individually or collectively, lead to negative rating action/downgrade:

- Delinquencies (90+ DPD) of >8% coupled with a sustained lower collection efficiency (cumulative collection efficiency of <90%).
- Sharp deterioration in the credit profile of the originator.
- Non-adherence to key transaction terms envisaged at the time of the rating.

### Analytical approach

[CARE Ratings' methodology for asset/mortgage-backed securitisation](#)

The pool has amortised by around 62% in 11 months post-securitisation, with nil utilisation of the CC. The pool has exhibited low delinquencies. As on November 2023, the overdue (OD) (as a percentage of the initial POS) is 0.85%. The credit enhancement (CE) available is sufficient to sustain the ratings for the balance tenure.

| Pool summary (as on November 2023 payout)            |        |
|------------------------------------------------------|--------|
| Months post-securitisation                           | 8      |
| Pool amortisation                                    | 48.94% |
| 30+ delinquency (percentage of the initial pool POS) | 1.64%  |
| 90+ delinquency (percentage of the initial pool POS) | 0.72%  |
| Overdue amount (percentage of the initial pool POS)  | 0.44%  |
| Cumulative CE (CCE)                                  | 99.07% |

<sup>1</sup>Complete definitions of the ratings assigned are available at [www.careedge.in](http://www.careedge.in) and in other CARE Ratings Ltd's publications

| Pool summary (as on November 2023 payout) |        |
|-------------------------------------------|--------|
| CC (percentage of the balance PTC POS)    | 20.78% |
| Cumulative prepayments                    | 7.08%  |

## Detailed description of the key rating drivers

### Key strengths:

- High CCE of 99.07% after eight months (post-securitisation) coupled with an amortisation of around 49%.
- CC as a percentage of the PTC POS is 20.8%, which remains unutilised, and OC, which is 36.9% of the PTC POS.
- Total OD in the pool is low at 0.44% (as a percentage of the initial pool POS).
- Well-defined payment mechanism and adherence to the transaction structure.

### Key weakness:

- Weak borrower profile, as this segment is susceptible to socio-political disruptions and other external shocks.

### Liquidity: Strong

The inherent liquidity in the structure is strong. The interest payouts for Series A1 PTCs are promised on a monthly basis, while the principal of Series A1 PTCs is promised to be paid by final legal maturity. In case of any delinquency, the payouts are expected to be supported by CE consisting of CC, principal subordination in the form of OC, and EIS.

### Key rating assumptions

CARE Ratings has analysed the transaction to assess whether the CE is sufficient to cover shortfalls. Since the transaction is sensitive to the credit quality of the underlying pool, CARE Ratings has analysed the performance of the pool and the overall portfolio performance of the originator. Considering the borrower profile and the nature of the loan, the pool characteristics and the portfolio performance, CARE Ratings has taken the average peak shortfall from 9% to 11% of the POS. The base case shortfalls were stressed along with other key factors such as the timing of shortfalls, the recovery assumptions, and the time to recovery. CARE Ratings has found that the CE provided is sufficient to cover shortfalls in a stress scenario commensurate with the assigned rating. The pool cash flow has been further adjusted for prepayments of underlying loans, assuming monthly prepayments in the range of 0.75% to 1.25%.

### Applicable criteria

[Policy on Default Recognition](#)

[CARE Ratings' methodology for asset/mortgage-backed securitisation](#)

## About the company and industry

### Industry classification

| Macro-economic Indicator | Sector             | Industry | Basic Industry |
|--------------------------|--------------------|----------|----------------|
| Financial services       | Financial services | Finance  | Securitisation |

SSFL is primarily engaged in extending microfinance loans through the joint-liability group (JLG) model, primarily to borrowers belonging to low-income households, since 1997. In 2003, the company was registered with the Reserve Bank of India (RBI) as a non-deposit taking non-banking finance company (NBFC-ND) and is currently registered under the new category of NBFC-microfinance institution (MFI). The company went into corporate debt restructuring (CDR) post the Andhra Pradesh crisis in 2010 and exited the CDR in April 2017.

SSFL was promoted by Padmaja Reddy, who holds around 15% stake in the company and is a member of the board but does not hold significant control. Other major stakeholders are Kedaara Capital and Affiliates (holding 58.19%), JM Financial Products Limited (holding 9.94%), and Valiant Mauritius Partners FDI Limited (holding 9.46%). The CEO, Shalabh Saxena, and CFO, Ashish, previously held positions in Bharat Financial. The positions of CTO, CBO, and CXO were also filled thereafter by Kedaara Capital.

SSFL has presence in 14 states with a total of 1,533 branches. The portfolio is moderately diversified, as Madhya Pradesh constituted the maximum of 21.31% but the top four states constituted 76.06% of the portfolio. SSFL is focused on its micro-credit business and follows the JLG model for risk mitigation. The business of SSFL is targeted towards under-privileged women.

### Key financial indicators – SSFL

| Particulars               | FY21 (A) | FY22 (A) | FY23 (A) | Q1FY24 (UA) |
|---------------------------|----------|----------|----------|-------------|
| Total income (₹ crore)    | 1,465    | 1,392    | 1,394    | 502         |
| PAT (₹ crore)             | 1026     | 862      | 788      | 111         |
| Interest coverage (times) | 1.42     | 1.12     | 1.13     | 1.78        |
| Total assets (₹ crore)    | 8,241    | 6,676    | 9,185    | 9,589       |
| Net NPA (%)               | 3.27     | 6.78     | 0.58     | 0.45        |
| ROTA (%)                  | 1.55     | 0.68     | 0.16     | 1.18        |

A: Audited; UA: Un Audited. Note: The above results are the latest financial results available.

**Status of non-cooperation with previous CRA:** Not applicable

**Any other information:** Nil

**Rating history for the last three years:** Please refer Annexure-2

**Covenants of the rated instruments/facilities:** Detailed explanation of the covenants of the rated instruments/facilities is given in Annexure-3

**Complexity level of the various instruments:** Annexure-4

**Lender details:** Annexure-5

### Annexure-1: Details of instruments/facilities

| Name of the Instrument    | ISIN | Date of Issuance | Coupon Rate (%) | Maturity Date | Size of the Issue (₹ crore) | Rating Assigned along with Rating Outlook |
|---------------------------|------|------------------|-----------------|---------------|-----------------------------|-------------------------------------------|
| Pass-through certificates | -    | 24-03-2023       | 10.00%          | 17-11-2024    | 55.34                       | CARE AA (SO)                              |

### Annexure-2: Rating history for the last three years

| Sr. No. | Name of the Instrument/Bank Facilities | Current Ratings |                              |              | Rating History                              |                                             |                                             |                                             |
|---------|----------------------------------------|-----------------|------------------------------|--------------|---------------------------------------------|---------------------------------------------|---------------------------------------------|---------------------------------------------|
|         |                                        | Type            | Amount Outstanding (₹ crore) | Rating       | Date(s) and Rating(s) assigned in 2023-2024 | Date(s) and Rating(s) assigned in 2022-2023 | Date(s) and Rating(s) assigned in 2021-2022 | Date(s) and Rating(s) assigned in 2020-2021 |
| 1.      | Pass-through certificates              | LT              | 55.34                        | CARE AA (SO) | 1)CARE AA-(SO)<br>(3-May-23)                | 1)Provisional CARE AA-(SO)<br>(27-Mar-23)   | -                                           | -                                           |

LT\*: Long term.

### Annexure-3: Detailed explanation of the covenants of the rated instruments/facilities

Not applicable

**Annexure-4: Complexity level of the various instruments rated**

| Sr. No. | Name of Instrument        | Complexity Level |
|---------|---------------------------|------------------|
| 1.      | Pass-through certificates | Highly complex   |

**Annexure-5: Lender details**

Not applicable

**Note on the complexity levels of the rated instruments:** CARE Ratings has classified instruments rated by it on the basis of complexity. Investors/market intermediaries/regulators or others are welcome to write to [care@careedge.in](mailto:care@careedge.in) for any clarifications.

**Contact us**

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**About us:**

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